Category
Introduction to Financial Statement Analysis

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OTHER SOURCES OF INFORMATION

Learning Outcome

- describe information sources that analysts use in financial statement analysis besides annual and interim financial reports

In addition to regulated information from issuers such as the financial statements and notes in filings, analysts use a variety of other information sources for financial analysis, which we group by origin: issuers, public third-party, proprietary third-party, and proprietary primary research.

- Issuer sources (other than regulatory filings such as annual and quarterly reports and proxy statements)
  - Earnings calls. Earnings calls are webcast or teleconferenced presentations and question-and-answer sessions hosted by issuers' management to discuss financial results. The primary audience for the calls are analysts, investors, and members of the media. While not legally required, most public companies conduct these calls to provide complementary information to their regulatory filings, such as explaining differences in performances from expectations, revisions to forward-looking targets, and explaining corporate actions such as acquisitions and restructurings. Analysts ask probing questions to gain further color from management to understand past results and actions to sharpen their estimates. Platforms such as Bloomberg, Wind, and FactSet transcribe earnings calls and other presentations.
  - Presentations and events, such as investor days. Similar to earnings calls but scheduled on an ad hoc basis, issuers and investment banks sometimes host events during which management teams give in-depth presentations on their business or specific topics and business segments. Like earnings calls, analysts must be aware that management is biased to their perspective, and often need to ask questions for the information they want.
  - Press releases. Press releases are announcements and statements of information (typically in writing but can be videos or graphics) by companies and their management. Common topics include notifications of upcoming events, product releases and changes, management and board of director changes, and M&A or restructuring announcements. Press releases are often distributed not only on issuers' websites but also on third-party news sources.
  - Speaking with management, investor relations, or other company personnel.
  - Company website or properties that the analyst may be able to visit as a customer or an investor. It is often useful to experience an issuer's and competitors' products firsthand, though it is not always possible (e.g., pharmaceuticals).
- Public third-party sources
  - Free industry whitepapers or analyst reports from a consultancy, usually accessed through internet search engines.
  - Economic or industry indicators from governments and other organizations, such as retail sales and price indexes, often released monthly or quarterly.
  - General news outlets.
  - Industry-specific news outlets.
  - Social media, which may be a useful gauge of customer sentiment for a company's products.

- Reports and data from platforms such as Bloomberg, Wind, and FactSet.
- Reports and data from consultancies, often industry-specific sources, such as Rystad in energy, iQvia and Evaluate in biopharma, and Gartner and IDC in information technology industries.

- Proprietary primary research
  - Surveys, conversations, product comparisons, and other studies commissioned by the analyst or conducted directly.

Information on the economy, industry, and peer companies is useful in putting the company's financial performance and position in perspective and in assessing the company's future. In most cases, information from sources apart from the company is crucial to an analyst's effectiveness. For example, an analyst studying a consumer-oriented company will typically seek direct experience with the products (taste the food or drink, use the shampoo or soap, visit the stores or hotels). An analyst following a highly regulated industry will study the existing and expected relevant regulations. An analyst following a highly technical industry will gain relevant expertise personally or seek input from a technical specialist.

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{DS} COMPANY DOCUMENT SEARCH

The Bloomberg DS function allows you to conduct keyword searches through all transcripts, research, filings, presentations, and press releases.

> "DS <GO> is Bloomberg's AI-powered research platform, which leverages natural language processing (NLP) to let you search across 200 million company documents with precision. DS extends your search with AI topic trends and 'intelligent synonyms' to efficiently provide you with the most comprehensive results." -Bloomberg

To explore this function, type DS into the Bloomberg command line and press Enter or <GO>. Type a search term into the first amber field. Or type a security—such as Saudi Arabian Oil Co. (or Saudi Aramco or ARAMCO AB Equity)—into the second amber field, and press Enter or <GO>.

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Discussion

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